

Research Briefing | Italy

A government crisis in the middle of a pandemic

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Previous PM Renzi will very likely pull the plug on the current government

Elections do not look likely and the most likely outcomes will not spur meaningful changes to fiscal and economic policies

- **The current Conte government looks very likely to end soon, as previous PM Renzi will withdraw his support over the next few hours. At this stage, the outcome of this crisis is very uncertain. But none of the most likely outcomes, such as a cabinet reshuffle, a slightly different parliamentary majority with still Conte heading the government and a change of PM under the current parliamentary majority, will bring any meaningful change in economic or fiscal policies. Therefore, we do not expect any strong financial markets reactions emerging from this crisis.**

After a few weeks of threats, previous PM Renzi, now leader of Italia Viva, will very likely pull the plug on the current Conte government today. Renzi's party, which according to the latest polls has only 3% of support (**Figure 2**), has 18 senators and it is therefore essential for the continuation of the current government. Without Renzi's support, the government would lack 11 senators to have a majority in the Senate (**Figure 1**).

At this stage, the outcome of this crisis is very uncertain, but we see the following three options as the most likely: 1) same parliamentary support with a cabinet reshuffle and Renzi's party obtaining some more important ministers; 2) a different parliamentary majority with the support of some opposition parties, such as Berlusconi's Forza Italia, and PM Conte still remaining head of government 3) same parliamentary support with a Prime Minister different than PM Conte.

Elections do not look very likely at the moment, as some parties (such as Forza Italia and Italia Viva), which currently maintain a sizeable number of MPs (**Figure 1**) would see their parliamentary power reduced in case of elections.

We expect that all the three options that we consider the most likely, will not spur much of a change in terms of economic or fiscal policies. We would still expect fiscal policy to continue to remain accommodative this year, while we do not see the new government able to solve the structural problems that the Italian economy is facing. In fact, we don't think the new cabinet, which will remain very fragile, will have the strength to introduce the policies that Italy needs to kickstart growth. Overall, contrary to some political crises we have seen in the past, we do not expect financial and bond markets to react to this crisis (**Figure 4**), given the combination of still sizeable support from the ECB and negligible changes in economic and fiscal policies.

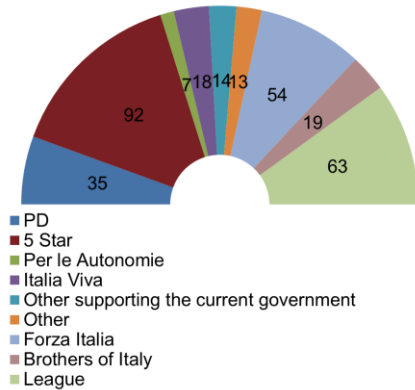
Perhaps the main conclusion coming from this crisis, which could result in the third government after the 2018 political election, is that without some institutional and electoral reforms any government in Italy will continue to remain very fragile and unable to pursue a strong agenda. This is because, bar a strong parliamentary majority, most governments going forward will continue to be subject to the support of small political parties.

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Figure 1: Current Upper House seats situation

Italy: Distribution of Upper House seats
(ex. senators for life. Majority with 158 senators)

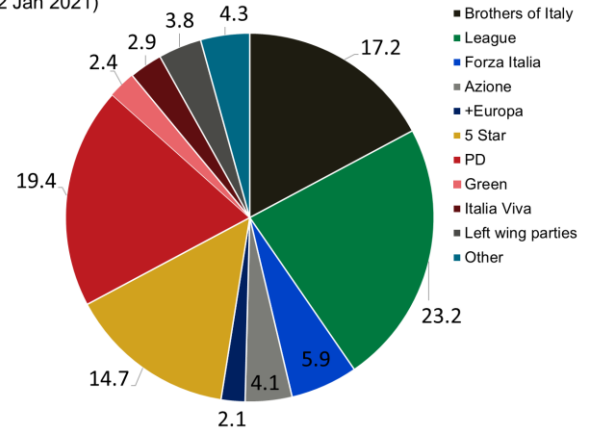


Source: Corriere della sera

Figure 2: Most recent opinion polls shows League and PD as the two leading parties

Italy: General election voting intentions

% (12 Jan 2021)

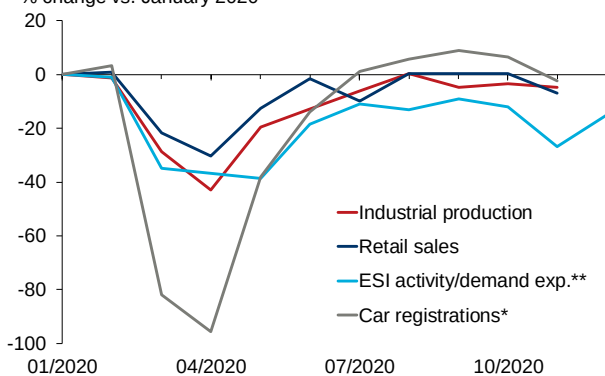


Source: SWG/Oxford Economics

Figure 3: November hard data have seen a negative turn

Italy: Pandemic recovery tracker

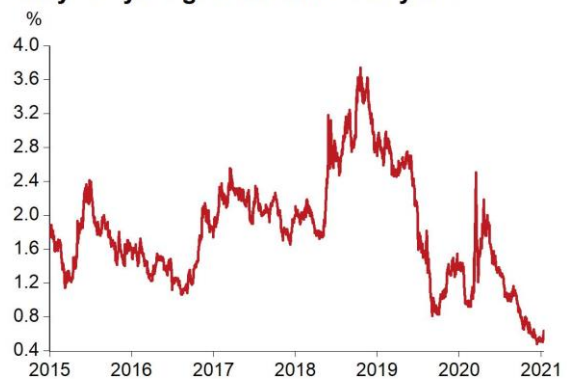
% change vs. January 2020



Source: Oxford Economics/Haver Analytics (*Haver SA, **chg. in pp, April ESI data were not reported for Italy)

Figure 4: We do not expect government bonds to react to this political crisis

Italy: 10-year government bond yields

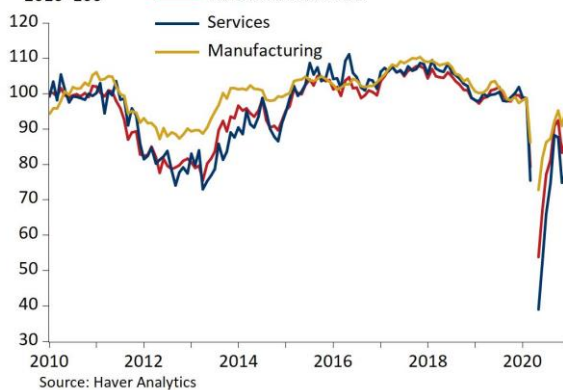


Source: Haver Analytics

Figure 5: Strong divergence between manufacturing and services soft data

Italy: Business confidence

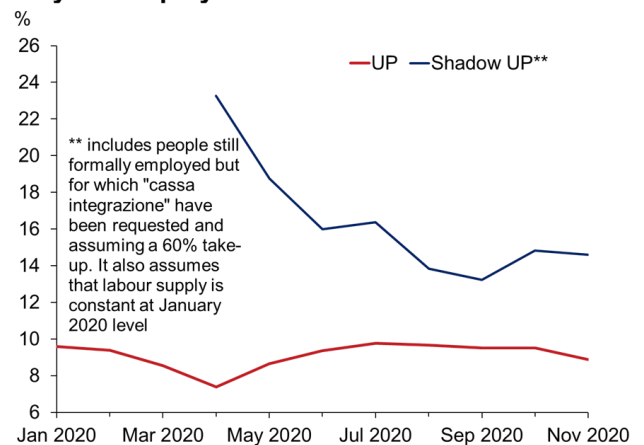
2010=100



Source: Haver Analytics

Figure 6: Shadow Unemployment rate remains around 5 points above the official one

Italy: Unemployment rate



Source: Oxford Economics/ISTAT/INPS